

NHOM Unit Modification Policy

Association of Apartment Owners Na Hale O Makena

Adopted December 28, 2020. **[Adoption date added — not stated in the original policy document; source: Board minutes 12/28/2020, as recorded in proposed House Rules §18.2.]**

Source of truth for editing and review. Faithful source: 201013(d) Modification Policy (clean)_v2026-07-26A.md.

Draft for Board review — not yet adopted.

How to read this draft. The original 2020 policy text is preserved. Two kinds of change are marked: **Yellow** = a reference to the governing document or law that supports the adjacent text. These add citations only; they change no requirement. **Green** = a correction to how the original policy applied the governing documents or the law, or a provision the original omitted. Each green block states that it was not in the original policy. Nothing else has been altered, except that five typographical errors carried over from the 2020 source have been corrected ("alternation", "park at in spaces", "in the any common area", "may be accessed", and a duplicated "Association" in the Bylaws title). No requirement was changed by those corrections.

1 General (Purpose & Authority)

This Unit Modification Policy contains rules and regulations regarding the modification, alteration, additions and renovations in units and limited common elements at Na Hale O Makena. This Policy is supplementary to the Declaration of Condominium Property Regime of Na Hale O Makena ("Declaration") and By-Laws of the Association of Apartment Owners of Na Hale O Makena (the "Bylaws"), and House Rules. *[Declaration §1.21 (weak/supplementary) — it defines "rules and regulations" as those adopted "as provided in the Bylaws" and so presupposes the delegation rather than making it; the operative grant is Bylaws §6.4 and §6.1(e). House Rules §1.5 (Precedence of Governing Documents) ranks the House Rules below the Declaration, Bylaws, the Act and Maui County Code; it does not address the rank of a Board policy relative to the House Rules, and no governing document expressly does. Where this Policy and the adopted House Rules differ, this Policy conforms to the House Rules as a matter of Board decision — the authority basis for that conformance should be settled before adoption.]*

This Policy is made pursuant to Hawaii Revised Statutes ("HRS") § 514B-140 and Section 6.4 of the Bylaws. *[Bylaws §6.4 "Rules and Regulations" — verified; it grants the Board authority to adopt rules governing the details of operations and use. HRS §514B-140 "Additions to and alterations of condominium" — verified.]* **[Correction — not in the original policy: the authority recital was incomplete. Bylaws §6.4 is a rules power only; the operative approval, enforcement, and access authority for unit modifications sits in Bylaws §§8.3 and 8.4 (approval of alterations) and §8.6 (Certain Work Prohibited — a prohibition plus a 75% owner-consent requirement, whose only Board-approval content is the proviso for nonmaterial additions**

and alterations), §6.1(e) (adoption and enforcement of rules), §6.1(o) (penalties and fines), §6.5 (abatement of violations) and §10.1 (right of access), together with Declaration §8(b) (soundness, disturbance, insurance, value) and §8(c) (prior written Board consent for anything visible from the exterior).]

The purpose of this Policy is to protect the structural integrity of the buildings and common elements at Na Hale O Makena, to ensure that work performed is properly conducted, to protect occupants from annoyance and nuisance, and to protect the reputation and desirability of Na Hale O Makena. *[Tracks Declaration §8(b).]*

All Owners, Tenants, and their contractors, employees, licensees, agents, representatives and invitees are required to adhere to the rules and regulations set forth in this Policy. *[Bylaws §2.3 — each Owner is personally liable for compliance by employees, tenants, guests and invitees.]*

When owners intend to alter, add to, modify or renovate their units, the Association must be notified in advance, in writing, of the intended activity. *[Bylaws §8.3(g) requires at least thirty (30) days' prior written notice for the work it covers.]* Most projects will have some impact on other residents or the common elements and it is required that the Board of Directors ("Board") and the Resident Manager **[Corrected from "General Manager" throughout — not in the original policy. "General Manager" appears nowhere in the Bylaws, the Declaration, or the House Rules. Bylaws §6.2 and §6.4 use "resident manager" and "managing agent"; House Rules §2.1 defines the Resident Manager and §1.2 identifies Molly Duncan.]** be aware of what is planned and what can be expected during the project.

Regardless of who the owner engages to perform work, the owner remains responsible for compliance with all legal requirements, Declaration, Bylaws, and House Rules, and will be responsible to the Association for all costs of review, approval, investigation, and repair for any requested work approval or resulting damage to common areas or other apartments, and for restoration of any modification to common walls or load-bearing walls. *[Bylaws §2.3; Declaration §5.4 (owner-caused repair costs billed as a special assessment); Bylaws §8.2 (same, as a lien-secured special assessment).]*

[Added — not in the original policy: Mechanic's and materialman's liens. Bylaws §6.1(k) provides that where the acts or omissions of one or more Owners cause such a lien, those Owners are jointly and severally liable for the cost of discharging it. An owner engaging a contractor is responsible for ensuring no lien arising from that work attaches to the property, and for discharging or bonding off any lien that does.]

The Resident Manager can provide Modification Request forms and all Board approved specifications for modifications and renovations. It is imperative that any improvements be made in compliance with Board approved specifications and receive written approval from the Board prior to beginning construction.

2 Work Requirements

2.1 Work Prohibited

No unit owner shall do any work that may jeopardize the soundness or safety of the property, reduce the value thereof, or impair any easement, as reasonably determined by the Board. *[Verbatim HRS §514B-140(a); see also Bylaws §8.6 (Certain Work Prohibited) and Declaration §8(b).]*

2.2 Work Requiring Board Approval

No owner shall undertake any addition to, modification of, remodel of, renovation of, or alteration of, his or her unit, limited common elements or common elements ("Work") without first obtaining the written approval of the Board. *[Bylaws §8.3(a)–(d) and §8.4(b); House Rules §10.1.]* Work includes, but is not limited to, modifications, butting, scoring, cutting, drilling into, or chiseling into any common element, including interior load-bearing walls, and any activity that includes removing, adding or altering anything structurally other than what is currently installed in the unit or on lanai. *[Declaration §4.3(f) excludes load-bearing and structural components of perimeter, interior and party walls from the unit; Declaration §5.1(c) makes them common elements.]* Work includes anything that would alter the outside appearance of the unit or building, *[Bylaws §8.3(a)–(d) is the operative approval authority for work altering exterior appearance. Declaration §8(c) (weak/supplementary) — it bars displaying a sign or placing any other thing in or upon doors, windows or walls so as to be visible from the exterior, which reaches placed objects and signage rather than alterations of appearance.]* moving the washer dryer, or alter plumbing lines and electrical conduits. *[Declaration §4.3(f)(d) and §5.1(d) — pipes, wires, ducts and conduits serving more than one Apartment are common elements even where they run inside a unit.]* Tiling or cabinets inside the unit are not included unless they structurally change plumbing, electrical or other common elements.

[Correction — not in the original policy: the statute establishes two approval tracks, and a single blanket Board-approval rule does not conform to it.]

(a) Nonmaterial additions and alterations — Board approval only. Under HRS §514B-140(c), nonmaterial additions to or alterations of the common elements or units — expressly including work made *within* a unit or within a limited common element appurtenant to and for the exclusive use of that unit — require approval only by the Board, which *shall not unreasonably withhold* approval.

"Nonmaterial" means work that does not jeopardize soundness or safety, reduce value, impair an easement, detract from the appearance of the project, interfere with or deprive any nonconsenting owner of use or enjoyment, or directly affect any nonconsenting owner. Bylaws §8.3(g) further permits owners, without consent, to install, maintain, remove and rearrange nonstructural partitions and other nonstructural improvements within their Apartments and to alter plumbing, electrical or other fixtures, provided the alteration does not adversely affect the Project's plumbing and electrical systems as determined by the Board in the exercise of its sole discretion — subject to thirty (30) days' prior written notice with plans and specifications.

(b) Material additions and alterations — owner vote required. Under HRS §514B-140(b), a material addition or alteration requires the written consent of **sixty-seven per cent (67%) of the unit owners**, the consent of **all** unit owners whose units or appurtenant limited common elements are

directly affected, **and** Board approval, which shall not unreasonably withhold. The Board cannot substitute its own approval for the owner vote. Declaration §19 (2007 Amendment) sets 67% by two distinct routes: §19(c) requires 67% for **amendments** to the Declaration and Bylaws, including amendments relating to alteration of the Project; §19(d) reduces the **75% approval requirement for alterations to the common elements** to 67%. It is §19(d), not §19(c), that supersedes the original 75% alteration threshold.

(c) Boundary or map changes. Work that changes an Apartment boundary or converts Apartment space into common or limited common elements (or the reverse) is a material amendment requiring a recorded Declaration amendment and mortgagee approval — Declaration §16.4(f), (g); Bylaws §8.4(d).]**

[Added — not in the original policy: Flooring in upper-floor units. Bylaws §8.3(g), as amended by the First Amendment recorded June 26, 2001 (Doc. 2001-096485), provides that owners of Apartments located above the ground floor shall not remove or replace the carpeting and padding originally installed by the Developer except where replaced with carpeting and padding first approved by the Board, of a quality equal to or better than that originally installed. Flooring changes in upper-floor units therefore require Board approval regardless of whether the work is otherwise cosmetic.]

[Added — not in the original policy: Modifications for persons with disabilities. Bylaws §8.5 requires the Association to permit an owner with a disability to make reasonable modifications at the owner's expense, including the cost of any required bonds. Declaration §9 (weak/supplementary) — it grants reasonable exemptions from the Declaration, Bylaws and rules rather than a modification right, but it does supply the exterior-approval-at-the-applicant's-expense rule stated below. The request must be in writing and is deemed granted if not denied in writing within forty-five (45) days. Where the modification affects the exterior or the exterior appearance of the Project, Board approval is required and the cost is the applicant's. This obligation runs in parallel with the federal Fair Housing Act and HRS ch. 515, and is not displaced by any other provision of this Policy.]

[Flagged for Board decision — not in the original policy: Solar energy devices. Bylaws §8.3(e) states flatly that "Exterior solar panels shall be prohibited." HRS §514B-140(c)(1) provides that installation of solar energy devices by condominium unit owners "shall be allowed upon written consent of the board," HRS §196-7 (weak/supplementary) — subsections (a) and (c) apply to a "single-family residential dwelling or townhouse," which NHOM's 40 apartments in six multi-story buildings are not; the preemption argument rests on HRS §514B-140(c)(1) alone. The Bylaws prohibition is therefore likely preempted and probably unenforceable as written. This Policy does not resolve the conflict; the Board should address §8.3(e) in the pending Bylaws amendment work rather than rely on the prohibition.]

3 Approval Process

3.1 Application

To obtain Board approval, owners must submit the Modification Request Application ("Application") to the Board. The Application is issued separately as a fillable PDF — see Section 13. The Application shall also include at least all of the following:

a. A design plan with detailed drawings, photographs and/or specifications and all measurements for the installation of the proposed Work, including stamped engineering and/or architectural drawings.

[Bylaws §8.3(g) requires plans and specifications prepared by a licensed Hawaii architect or engineer only if the proposed alteration involves installing, maintaining, removing or rearranging partitions and/or plumbing, electrical or other fixtures attached to the ceilings, floors and walls. The requirement stated above is broader and is a Board rule under §6.4 and §6.1(e).]

b. Copies of any necessary permits required (e.g., County, SMA).

c. The name of a Hawaii licensed and insured contractor performing the work (company name and license number), and contact information for the contractor and subcontractors.

d. Verification of current liability insurance in the amount of at least One Million Dollars (\$1,000,000.00) and workers compensation insurance of all installers and sub-contractors performing work on the project.

e. If required by the Board, a Performance and Completion Bond equal to or greater than the total cost of the work.

[Items (d) and (e) are Board-adopted rule requirements under Bylaws §6.4 and §6.1(e). The Bylaws themselves impose no owner or contractor insurance or bonding requirement; Bylaws §8.5 refers to bonds "required by the Declaration, these By-Laws or the Act." Retaining them is within the Board's rule-making power, but they should be understood as rules, not Bylaws mandates.]

The Board may require further information as, in its sole discretion, it believes necessary to ascertain whether the proposed Work falls within the rules and regulations. **[Correction — not in the original policy: "sole discretion" overstates the Board's latitude. HRS §514B-140(b) and (c) both provide that the Board "shall not unreasonably withhold" approval, Bylaws §8.3(a), by contrast, expressly commits the professional-review determination to the Board "in its sole discretion", so it does not limit the Board here; the limit rests on HRS §514B-140(b)–(c) alone. Requests for further information must be reasonably related to determining whether the proposed Work meets the requirements of this Policy.]**

If there have been any design layout modifications from the original "as built" plans and specifications submitted to the Board, the owner must immediately provide a copy of the new layout to the Resident Manager. Design modifications include, but are not limited to, the removal or relocation of any walls, doorways, appliances or plumbing.

3.2 Costs

The owner shall pay for all expenses which have been or are likely to be incurred in connection with the application review and Work inspection. Expenses may include any professional, including but not limited to, an architect or structural engineer, that is necessary for the Work. *[Bylaws §8.3(a) — where the Board determines the services of a licensed professional are necessary, the requesting Owner reimburses the Board its costs.]* A reasonable deposit towards these fees, subject to change, may be required by the Board. The Board may hire a consultant, at the expense of the owner, for application review, Work inspection and damage review incidents to report to the Board.

[Added — not in the original policy: advance notice of cost. HRS §514B-105(d) (weak/supplementary) provides that an owner who requests legal or other information from the association may not be charged the reasonable cost of the association's response unless the association gives written notice at least ten (10) days prior to incurring that cost. Its terms address information requests, and it expressly excepts costs incurred in connection with proceedings to enforce the governing documents; modification-review and inspection charges under Bylaws §8.3(a) are a different category. The ten-day notice below is therefore adopted as a Board practice, not as a statutory requirement. The Association will give the owner written notice of an anticipated review, consultant, or inspection charge at least ten days before it is incurred.]

3.3 Approval & Inspection

The Board shall approve the application if it meets the requirements set forth herein, and if in the Board's reasonable opinion, the proposed Work has been designed and specified to reduce or mitigate adverse visual or other impacts to common elements and other units. *[HRS §514B-140(b), (c) — approval "shall not unreasonably [be] withh[e]ld." The Board retains the right under §514B-140(b) to disapprove work it reasonably determines could jeopardize soundness or safety, impair an easement, or interfere with or deprive a nonconsenting owner of use or enjoyment.]*

All work is subject to inspection by the Resident Manager, Board and/or the Board's designated representative. *[Bylaws §10.1 (right of access for inspection, with advance request at a time reasonably convenient to the Owner; no prior request in an emergency); Declaration §6(c) (irrevocable right of access).]*

[Added at the direction of the Board President (Robert Sutor Recommended) — not in the original policy: advance notice of start, and inspection during construction.]

The owner or the owner's contractor shall notify the Resident Manager **at least forty-eight (48) hours before the contractor first arrives on site to begin work — including demolition, or delivery of materials or equipment to the unit**, stating the start date, the expected duration, and the contractor who will be on site. The Resident Manager may **inspect the status of the work at any time during the construction hours stated in Section 5 (Working Hours)** to confirm that the work in progress matches the scope the Board approved and that this Policy is being observed. Access for that purpose shall be arranged with the owner or the owner's on-island representative and, except in an emergency, at a time reasonably convenient to the occupant. *[Inspection right: Bylaws §10.1;*

Declaration §6(c). Proposed House Rules §18.8 provides only for inspection on completion; this Policy adds inspection during the work. The 48-hour notice parallels the water shut-off notice in Section 7.]

The Board reserves the right to stop or delay any work which has not been approved or deviates from the approved scope. If at any time during the course of work the Contractor is ordered to stop work by the Board, all work will cease immediately and will not resume without specific written authorization from the Board allowing resumption of work.

[Correction — not in the original policy: limits on stop-work and abatement. The Bylaws do not grant an unrestricted administrative stop-work power. Bylaws §6.5(a) permits the Board to enter and summarily abate a condition only where the violation threatens an immediate, substantial and undeniable threat to life, limb or property; otherwise the Board's remedy under §6.5(b) is to enjoin, abate or remedy the breach by appropriate legal proceedings, with costs and attorneys' fees payable by the defaulting Owner. A direction to stop work outside the §6.5(a) circumstances operates as a rule enforcement measure — backed by the fine schedule and, if necessary, legal proceedings — not as a self-executing right of entry.]

4 Contractors

4.1 Licensed Contractor Required

[Revised — not in the original policy. The original section reproduced an explanation of HRS Chapter 444 and the "handyman" exemption, and stated that the exemption "does not apply ... for electrical and plumbing work." That statement misattributed the law: the \$1,500 exemption in HRS §444-2(4) is dollar-based and contains no trade carve-out; the electrical/plumbing carve-out belongs to the separate owner-builder exemption at §444-2.5(a)(2). Rather than restate licensing law the Association does not administer, this section now states only what the Association requires and does. See NHOM_Legal_Reference_Statutes §2.9 for the verified statutory text.]

Any work exceeding \$1,500, or any work for which a county building permit is required, must be performed by a Hawaii licensed contractor. *[HRS §444-9 (license required); HRS §444-2(4) (exemption unavailable where a building permit is required, regardless of contract price, and unavailable where work is divided into smaller contracts to evade the chapter); House Rules §10.2 (weak/supplementary) adopts the same \$1,500 threshold but only for work "performed by someone other than the owner of the unit"; proposed House Rules §18.3 adopts the threshold. The Association's requirement stated above is a Board rule and does not depend on the House Rules carve-out.]*

All electrical and plumbing work must be performed by contractors licensed for that work in Hawaii.

The owner shall provide the contractor's license number to the Resident Manager with the Application. The Association will verify the license against the State of Hawaii licensing database. **Owners may verify a contractor's license themselves at the State of Hawaii Department of Commerce and Consumer Affairs Professional & Vocational Licensing search:**

<https://mypvl.dcca.hawaii.gov/public-license-search/> [State DCCA PVL public license search – confirmed live 2026-07-26.]

The owner is responsible for obtaining any county building permit required for the Work and for completing any inspection required by County of Maui code. The Association does not administer, interpret, or enforce the building code.

4.2 Certificate of Insurance

The contractor must provide a current copy of their license and certificate of insurance to the Resident Manager prior to the commencement of any work. For significant extensive remodels, the Association may require the certificate of insurance to name the Association as an additional insured.

4.3 Contractor Conduct

1. The contractor must abide by the Declaration, Bylaws, House Rules and this Policy at all times. It is the owner's responsibility to advise the contractor of the Association's governing documents. Owners shall provide a copy of this Policy and the House Rules of the Association to all persons performing work at or in the Unit.
2. There will not be any work performed or anything stored in the walkways or common areas at any time. [House Rules §6.3 (no storage in common elements); §7.7 (no personal items stored in parking spaces).]
3. Contractors or workers may not leave pets in work trucks in the parking lot or have them present on the job site. [House Rules §8.1 (weak/supplementary) – the prohibition excepts fish and other aquarium animals and, notwithstanding anything to the contrary, service, comfort, emotional-support and assistance animals under HRS ch. 515, HAR §12-46-306 and the federal Fair Housing Act. Those exceptions do not reach contractors' pets, so the rule above stands.]
4. Contractors must wear shirts, appropriate footwear and exercise professional decorum.
5. Contractors must register with the Resident Manager. Contractors will be issued a temporary parking permit, which must be displayed on the driver's side of the front dashboard of the vehicle. Contractors must park in spaces designated by the Resident Manager, unless granted special permission by the Resident Manager. [House Rules §7.4; Bylaws §8.7(f)(iv) – workers and delivery persons use the Occupant's assigned stall or a designated loading area unless other arrangements are approved in advance.]
6. Contractors shall not use the Association's equipment, or the dumpsters for their refuse and must promptly haul off discarded materials. No materials are to be dumped down the trash chutes. [House Rules §10.6 – construction debris shall be promptly removed and shall not be placed in Association trash receptacles.]
7. Contractors must hang protective pads if furniture, lumber, or other bulky items are to be moved between floors. No doors to the building or units are to be propped open unattended. [House Rules §4.11 – owner pays for common-element damage caused by moving tools or materials in connection with repair or renovation.]

8. Contractors must give twenty-four (24) hours advance notice to the Resident Manager regarding any work that will be making excessive loud noise, such as the use of heavy equipment for jack hammering, tile cutting, and saw cutting.
9. No construction activity may be conducted in any common area on the property. No construction materials or items may be stored in the common elements. The cleaning of tools and equipment must be done in the unit or off property. Unit sinks, tubs, showers and common element drains are not to be used for this purpose.
10. The Association will not coordinate deliveries or activities.
11. All power equipment must be operated indoors, unless otherwise approved in writing by the Association.
12. No radio or music may be played outside the unit. Radio, television and any music played inside the unit must be kept at a level not to be heard outside the unit or adjacent units. *[Bylaws §8.7(c); House Rules §4.2.]*
13. Drinking alcoholic beverages or use of drugs on the job site is prohibited. Contractors must abide by House Rules and State regulations regarding smoking.
14. The Board, through its managing agent and/or Resident Manager, reserves the right to eject any worker who is determined by the Association to be engaging in any activity that violates the rules and regulations of the Association.

5 Working Hours

[Correction — not in the original policy: the hours stated below are narrower than the adopted House Rules, which take precedence. Adopted House Rules §5.6 permits work on apartments 8:00 a.m.–5:00 p.m. Monday through Friday and 9:00 a.m.–4:00 p.m. on Saturdays and on State and federal holidays, as of right. Adopted House Rules §10.7 bars work before 8:00 a.m. or after 5:00 p.m. and bars *loud* construction work on Sundays and State or federal holidays. This Policy therefore conforms its hours to the adopted House Rules. House Rules §1.5 ranks the House Rules below the Declaration, Bylaws, the Act and Maui County Code; it does not state that a Board policy is subordinate to the House Rules, and no governing document expressly does — the conformance below is a Board decision and its authority basis should be settled before adoption. The two adopted House Rules provisions also conflict with each other on holiday work; proposed House Rules §18.5 resolves them into a single schedule (Mon–Fri 8–5; Sat 9–4; Sundays and State/federal holidays — no work). Until that rewrite is adopted, §5.6 and §10.7 govern and this Policy conforms to them.]

Working hours are 8:00 a.m. to 5:00 p.m. Monday through Friday, and 9:00 a.m. to 4:00 p.m. on Saturdays and on State and federal holidays. No loud construction or repair work — including drills, electric saws, and heavy construction — is permitted on Sundays or State or federal holidays. Work outside these hours requires prior written approval by the Resident Manager, except in case of

emergency. *[House Rules §5.6 and §10.7.]* Immediate fines may be assessed for non-compliant construction work or noise.

6 Debris

6.1 Containment

Demolition and construction debris must be contained within the unit or sealed within the lanai. The sealing must be removed each night and all debris removed unless prior written approval is obtained from the Board.

6.2 Cleaning

All debris must be removed from the premises by the owner and contractor at their expense. This includes demolition materials, appliances, furniture, and work materials. The Owner/Contractor must keep the walkways and common areas clean at all times. Debris dropped or spilled must be cleaned up immediately.

Any flammable debris must be removed from the unit at the end of each day's work. Hazardous materials must not be left on premises overnight.

No activity shall be engaged in and no substance be brought into or manufactured within any unit or building which might be in violation of the law or Bylaws of the Association or which might cause a cancellation or increase in the Association's insurance without the approval of the Board. *[Declaration §8(b) — no owner shall suffer anything done or kept which would jeopardize the soundness of the Project, unreasonably disturb other owners, increase the rate of hazard insurance, or reduce the value of the Project.]*

6.3 Disposal

All debris must go to the landfill. Contractors are not permitted to use the trash disposal for construction debris. Small amounts of trash may be placed in the AOAO dumpster only upon prior approval by the Resident Manager. *[House Rules §10.6.]*

No paint or toxic fluids may be put in parking lot drain or dumpsters.

7 Water Shut-Off

The Owner and Owner's Contractor are prohibited from shutting off the water to the unit or any portion of the building at any time. If a water shut off is required it must be scheduled 48 hours in advance, unless an emergency repair is required. Only the owner or on-island representative is authorized to turn the water off or on. *[Proposed House Rules §18.7 (weak/supplementary) requires three business days' notice, but reaches only work requiring shut-off of water serving more than the owner's apartment; it does not cover a shut-off confined to the owner's own unit. If adopted, that period governs the multi-apartment case.]*

8 Damage to Common Areas

The owner is responsible for the cost of repairs to any common areas that are damaged by the contractor.

[Declaration §5.4 — repair or maintenance costs caused by the act or neglect of an owner or the owner's guests, tenants or licensees are billed to the owner as a special assessment; Bylaws §8.2 (special assessment constituting a lien); Bylaws §6.1(i).]

[Added — not in the original policy: limit on recovery for insured loss. Declaration §12.7 (Waiver of Subrogation) provides that where a loss is covered by Association insurance, the Board has no claim or cause of action against an owner except for the deductible, and then only if the loss was caused by the negligent or intentional act or omission of that owner or the owner's guests, tenants or licensees. Declaration §13.1(g) contains a mutual release of claims to the same effect. Recovery from an owner for insured damage is limited accordingly.]

9 Storage of Construction Materials

Materials used in construction may not be stored on the lanai without written authorization from the Resident Manager. Any items approved for storage on the lanai must be stored in a neat and orderly manner. If construction occurs on the lanais, construction sheets must be erected to seal the lanai and prevent dust, wood and other debris from escaping. *[House Rules §5.11.6 — lanais shall not be used for storage purposes of any kind; §7.7 — no personal items stored in parking spaces. Declaration §4.3(e) (viii) makes the lanai part of the Apartment, but §5.1(e) makes lanai railings common elements and §4.3(f)(e) makes lanai finished surfaces common elements.]*

10 Use of Association Employees & Equipment

Contractors may not hire or use the services of Association employees, equipment, tools or facilities in the performance of their work. Contractors must use their own dollies and hand carts.

11 Compliance with Laws

The owner and contractor must comply with all laws, ordinances and building codes in conjunction with their work. *[Bylaws §8.7(d) — owners must observe and perform all laws, ordinances and regulations of any governmental authority applicable to use of the Project.]*

12 Fine Schedule

[Correction — not in the original policy: the fine schedule below replaces the original. The original imposed \$100.00 per incident, doubling for each repeated incident, plus an "enhanced fine" without prior warning of up to \$1,000 or, where property was damaged, \$1,000 plus three times all actual damages and costs. That structure conflicts with the adopted House Rules fine schedule — which this Policy defers to as a matter of Board decision, House Rules §1.5 not itself establishing that precedence (see the authority note at

Working Hours) — and the treble-damages provision has no basis in the Bylaws, the Declaration, or HRS §514B-104(a). This Policy now cross-references the adopted schedule rather than setting its own.]

Violations of this Policy are subject to the fine schedule in adopted House Rules §11.3 — written warning with fourteen (14) days to correct; a second written notice with a fine of Fifty Dollars (\$50.00); a third written notice of One Hundred Dollars (\$100.00); and Two Hundred Fifty Dollars (\$250.00) per day for each day the violation continues after the third written notice, to a maximum of Five Thousand Dollars (\$5,000.00). For violations involving property damage, threat to safety of persons, harassment, or illegal conduct, House Rules §11.3(f) permits a fine of \$1,000 with prior written warning. Fines are payable within thirty (30) days under House Rules §11.4, and an owner may appeal within twenty (20) days under House Rules §11.5. *[Bylaws §6.1(o) authorizes the Board to establish penalties and fines, provided they are not inconsistent with applicable law; House Rules §1.6 conditions Board-set fines on consistency with HRS §514B-104(a). The amounts recited above are reproduced from adopted House Rules §11.3 for the reader's convenience only. The adopted House Rules schedule governs; if it is amended, the amended schedule applies and this Policy is not the operative source.]*

[Added — not in the original policy: statutory fining requirements and limits. (a) Appeal right. HRS §514B-104(a)(11) requires that a fining procedure state the basis for the fine and allow an appeal to the Board with notice and an opportunity to be heard; an owner who pays the fine may also initiate dispute resolution under HRS §§514B-161 or 514B-162 or request an administrative hearing. **(b) Mediation.** HRS §514B-146(g) permits an owner contesting a fine to demand mediation in writing. The bar on collection is conditional: the demand must be filed within thirty (30) days of the written statement required by §514B-146(d); collection is barred only until the association has participated in mediation, and may resume if mediation is not completed within sixty (60) days of the demand. **(c) No lien.** Bylaws §6.1(o) provides that no penalty or fine levied for any reason other than failure or refusal to pay common expenses or assessments creates a lien against an Owner's Apartment. A fine under this Policy is therefore not lien-securable. HRS §514B-146 separately bars nonjudicial foreclosure on a lien arising solely from fines, penalties, legal fees, or late fees. Proposed House Rules §20.6 makes the same point. **(d) Costs and fees run both ways.** Bylaws §2.4 provides that the Association's enforcement costs, including reasonable attorneys' fees, are paid by the defaulting Owner — but that where the claims on which the Association acts are not substantiated, the Association pays the Owner's fees. Declaration §15.2 is to the same effect.])**

If Work is not completed in a timely manner and creates a hazardous condition or nuisance, the Association has the right, but not the obligation, to fine for uncompleted work and take all other legal action available to it.

13 Modification Request Application

[Changed — the Application is no longer embedded in this Policy. It was previously reproduced as Appendix A; it is now issued as a separate fill-in-on-screen PDF so owners can complete it on a computer, in a browser, or in any PDF tool, and so the form can be revised without re-issuing the Policy.]

Applications are made on the Association's **Modification Request Application**, issued separately as a fillable PDF:

NHOM_Unit_Modification_Request_Form_FILLABLE_DRAFT_v2026-07-26A.pdf

The form may be completed on screen in Microsoft Edge, Google Chrome, Adobe Acrobat or Reader, or Apple Preview, then saved, printed, or emailed. It may also be printed and completed by hand. Copies are available from the Resident Manager.

The Application requires the information listed in Section 3.1 (Application) above, the contractor license number for each contractor, and the attachments listed on the form.

Exhibit A — Do I Need Board Approval?

[Added — not in the original policy. A quick-reference schedule of common jobs. Four cells are marked *[confirm]* pending answers from Maui County DSA on plumbing and electrical permit requirements; those cells must be resolved before this Exhibit is distributed to owners.]

A quick guide only. Where this Exhibit and the Policy differ, the Policy governs. If your job isn't listed or you're unsure, ask the Resident Manager before you start.

Work	Board approval	Licensed trade	Also required
Painting & finishes			
Interior painting	No	No	Nothing, if not visible from outside
Flooring — ground floor	No	No	—
Flooring — above ground floor	Yes	No	Board-approved carpet/padding, equal or better (Bylaws §8.3(g), as amended 2001)
Plumbing fixtures			
Faucet, replaced in place	No	Plumber	No permit
Toilet, replaced in place	No	Plumber	No permit, if the floor flange isn't disturbed
P-trap — failed and replaced on its own	No	Plumber	Permit required (MCC 16.20C.101 §104.2(1))
P-trap replaced as part of a sink swap	No	Plumber	No permit
Water heater	No	Plumber	48-hour water shut-off notice; permit status <i>[confirm with DSA]</i>
Electrical			
Replace outlet, switch, or ceiling fan in place	No	Electrician	Permit <i>[confirm]</i>

NHOM Unit Modification Policy (v2026-07-27B)

Work	Board approval	Licensed trade	Also required
Install new, or move, an outlet, switch, or fixture	Yes	Electrician	30 days' notice + plans (Bylaws §8.3(g)); permit <i>[confirm]</i>
Bathroom exhaust fan — new or re-vented to outside	Yes	Electrician	Exterior penetration (Decl. §8(c); Bylaws §8.3(b))
Appliances			
Refrigerator	No	No	Ice-maker water line = plumber
Microwave, replaced in place	No	No	New outside venting → Yes , approval
Cooktop / stove — electric , in place	No	No	—
Cooktop / stove — gas	No	Plumber (gas)	Piped LP-gas; permit <i>[confirm]</i>
Oven, replaced in place	No	Trade for the connection	—
Oven moved	Yes	Electrician / gas	New connections
Washer/dryer, replaced in place	No	Trade if connections change	Vent to exterior → Yes , approval
Washer/dryer moved	Yes	Plumber + electrician	Named expressly in §2.2
Cabinets & surfaces			
Cabinet repairs	No	No	—
Cabinet replacement or modification	No	No	§2.2 excludes cabinets unless structural
Countertop replacement	No	Plumber for the sink reconnect	—
Structural & exterior			
Removing or moving any wall	Yes	Yes	Application + stamped plans
Anything visible from outside	Yes	—	Decl. §8(c)
Work touching a shared stack, riser, or service line	Yes	Yes	Common element (Decl. §4.3(f)(d), §5.1(d))

Two rules that apply to everything above: plumbing and electrical work must be done by a State-licensed tradesperson **regardless of cost** — the \$1,500 threshold does not reach those trades; and your contractor pulls any permit, since Maui does not let owners pull plumbing or electrical permits.